

8135.T pitch deck

PITCH — 8135.T — VERDICT

ADJUDICATED 2026-08-20 — courtable small, no urgency

(Company: ZETT Corporation, Osaka. Sporting goods wholesaler, founded 1920, listed on the TSE Standard market. Price ¥433 as of 2026-09-02. We own none of it and have no orders working.)

What we believe

ZETT is a ¥58.7bn-revenue sporting goods distributor whose stock market value (¥8.5bn) is less than the cash and securities sitting on its own balance sheet. At ¥433 a share:

- Book value is ¥782.80 a share. You are paying 55 cents on the dollar of stated book.
- Net cash is ¥7,565M, or ¥386.50 a share — 89% of the entire market value.
- Add the investment securities at a punitive 50% haircut and liquid assets alone are ¥10,533M, or **¥538 a share — 124% of what the whole company costs.**
- Strip the net cash out of the price and the operating business is priced at roughly ¥911M, against ¥980M of operating profit the company itself guides to this year. You are paying about one year of profit for a hundred-year-old business, and being handed the balance sheet for free.
- The dividend is ¥18 a share, a 4.16% yield, and it is an *ordinary* dividend — not a one-off. We verified that in the filing footnote after our own brief claimed the opposite.

The honest version of the thesis is not “this is a great business.” It is: *this is a cheap, dull, solvent orphan, and nobody is looking at it.* Zero analysts cover it.

What the market believes

The market believes there is no reason to own it, and it is not obviously wrong:

- Operating margin is around 2% and management guides it *down* to about 1.65% this year. This is a low-margin distribution business, not a brand.
- Revenue has compounded at 4.8% a year since 2019, and this year is guided at +1.4%.
- Underneath is a demographic problem: youth baseball participation in Japan is shrinking, and that is the core end market.
- Nobody at the company acts like an owner. There is no buyback, no cancellation of the 527,253 treasury shares, and no schedule to sell down the cross-shareholdings.
- It trades about \$51,600 a day. It is uninvestable for anyone managing real money, which is exactly why it is cheap and exactly why it may stay cheap.

Why we might have edge

Three things, in descending order of confidence:

1. **We read the documents and the consensus didn't, because there is no consensus.** No analyst covers this. Every number in this pitch came off the company's own quarterly and annual reports, not a data vendor. The screens that surface names like this get the numbers wrong (ours did — see below), so the few people who look, look at bad data and move on.
2. **The cheapness is arithmetic, not a forecast.** We don't need growth, a re-rating catalyst, or a management change for the balance sheet to be worth what it's worth. Our own harshest fair value — the bear bench's, built by discounting the trapped cash 50% and the securities 50% — is ¥593 against a ¥433 price. A less punitive read is around ¥670. The price gate passes on both.
3. **We caught two accounting artifacts that a casual reader would trade on backwards.** The cash flow “collapse” last year was a ¥1,058M tax payment on the prior year's one-time gain, not an operating break. The 14% quarterly “cash drain” was cash moved into securities — total liquid assets actually *rose* ¥732M in the quarter, after paying the dividend.

Why it might be priced in

Bluntly: most of it probably is, and the discount may be the correct price for a permanent problem.

- **The cash is not ours.** ¥2,041M — 24% of the entire market value — was moved out of cash and *into* investment securities last quarter. We verified this was a purchase, not a market re-valuation (the unrealized-gain reserve barely moved). Over two years management has pushed roughly ¥4.07bn of shareholder cash into securities while returning ¥0.70bn in dividends. That is not a company waiting to be unlocked; it is a company actively burying the asset we're underwriting.
- **The operating business is going sideways, not inflecting.** The Q1 “+32% beat” is an easy comparison. Operating profit was ¥438M two years ago, ¥328M last year (depressed by a bad-debt provision), and ¥434M this year. Two years, no progress. Neither of our benches caught this until the very end of the court.
- **The one time value was released, somebody else forced it.** ITOCHU — which owns both Descente and Converse Japan — drove the one asset monetization. Left alone, ZETT sold ¥110M of a ¥3.9bn securities pile in a full year: 2.8%. It also drew a ¥300M long-term loan while holding ¥9.1bn of cash, from a lender that is also a 5% shareholder.
- **The yield doesn't pay you to wait, quite.** 4.16% gross becomes about 3.17% after Japanese withholding and US tax, against roughly 2.5% after tax on a Treasury bill fund. Seven-tenths of a point for equity risk, unhedged currency, and no exit.

What could go wrong

Failure 1 — Dead money, forever (most likely). Tripwire: yes. We buy at 0.55x book and in three years it is still 0.55x book, we have collected ~3.2% a year after tax, and the currency has eaten it.

The mechanism is already visible: management converts cash into securities faster than it returns it, so the discount never has to close. *Monitorable*: the November half-year report — does operating cash flow exceed ¥1.0bn now that the one-time tax is gone, and did securities purchases continue? And the annual securities report's cross-shareholding note, which neither bench read.

Failure 2 — The yen. Tripwire: yes, and it fired during the court. We buy in yen and report in dollars. USDJPY traded 159.59 with a session high of **160.393 on the day this case was heard** — through the tripwire the Japan sweep pre-registered. A move from 160 to 180 is an 11% loss in dollars with nothing wrong at the company. Our own memo says unhedged, principal decides. *Monitorable*: the FX rate, daily.

Failure 3 — Something is arranged behind a closed door that we cannot see. Tripwire: NONE. Unknown-unknown class: **counterparty intent under a disclosure regime that shows us nothing between filings.** Concretely, any of these would hurt and none of them are watchable: - The ¥2,041M is not ordinary listed cross-holdings but something related-party — an affiliate placement, a captive fund, a directed investment. We cannot know without a document nobody has pulled. - ITOCHU, having cashed out of the relationship, restructures ZETT's sourcing or brand arrangements. The company reports a single segment with no customer, product, or geographic detail, so we would learn about it in the revenue line a quarter late. - The founding family or the employee shareholders' association takes the company private at a price anchored near the cash — using our own thesis against us, at a premium to ¥433 and a large discount to ¥782. - We also have **no way to test sourcing at all**: the Japanese customs trade-statistics connector we'd need does not exist on this desk. It is the highest-value missing tool in the case.

A fourth, related one with no tripwire: the youth-baseball demographic decline. There is no series we subscribe to, and single-segment reporting means it never appears as a line item — it just shows up as revenue that quietly stops growing.

The reflexive and structural leg — our own footprint and our own rules. The stock trades ~19,000 shares a day, about \$51,600. A \$12,500 position is a quarter of a day's volume; the disciplined build is 100-share clips at 1% of daily volume across 25 sessions. That means **we cannot get out quickly**. Exiting is the same 25 sessions, and it will be into a market that has no natural buyer, because there is no analyst and no institution.

If the bear bench's seller hypothesis were true — a bank unwinding a 5% stake, roughly 54 days of volume — we would be the marginal bid financing a patient, price-insensitive seller, which is exactly the situation our own flow rule tells us never to buy into. The bull bench overturned that read (the heavy-volume days were *up* days, and the recent five-session volume has halved), but it overturned it on inference, not on a filing. Nobody has identified the seller. We are choosing to buy without knowing who is selling.

And there is a doctrine interaction worth stating plainly: our minimum-starter rule says a court that ends below fair value with no fatal finding owes a starter position rather than a flat pass. That rule is what is producing this position. It is not conviction — it is a rule. The position is deliberately too small to

matter to the book, which means the real cost of owning it is not capital, it is the attention it will consume for years.

If this position loses money, the most likely reason will be that we correctly priced a balance sheet we never had any claim on — management kept converting the cash into securities we can't reach, the operating business stayed flat, and the yen fell — so we were right about the value and still never got paid.

What we checked ourselves

Claim	How checked	Found	Confirmed?
The ¥18 dividend is a disguised special (our brief's headline kill)	Read the dividend footnote in the FY3/2026 report	FY3/2025 was ¥10 ordinary + ¥8 special; FY3/2026 and FY3/2027E are ¥18 ordinary	No — our own brief was wrong. The bear bench killed its own best argument
The ¥18 has a long track record	Same footnote	Series is 8 → 8 → 10 → 18 → 18E. One year of history, one annual payment, set at board discretion each March	Yes
“¥1.8bn working capital drain is the kill variable” (our brief)	Cash flow statement	Working capital was -¥169M . The gap was ¥1,058M of cash tax on the prior year's one-time gain	No — our brief was wrong
“Average volume is \$13,600/day” (our brief)	20 sessions of tape	~19,000 shares ≈ \$51,600/day , ~4x the claim	No — our brief was wrong
“Revenue compounds at 9.3%” (our brief)	Audited annual series back to FY2019	4.76% . The 9.3% used the COVID trough year as the base	No — our brief was wrong
Yield is 3.2% (imported court)	Live price	4.14–4.16% — the imported court understated it	No — the imported court was wrong, in our favor
Buy ladder at ¥320–348 (imported court)	Live tape ¥433	20%+ below market. Unfillable fiction	No — pulled by the adjudicator
“Cash fell 14% in one quarter” (our own bear bench)	Q1 balance sheet, both lines	Cash fell ¥1,310M but securities rose ¥2,041M; liquid assets rose ¥732M net of the dividend	No — our bear bench read one line and missed the offset
“Fiscal year-end is the seasonal cash peak” (our bear bench's proposed new rule)	Control test on the prior year's Q1	Prior Q1 <i>built</i> cash, +¥517M. Q1 is a cash-building quarter here	No — rule rejected
“The tape refused two earnings beats” (our bear bench's headline kill)	Timestamps on the 8/7 report	Released <i>after</i> the close. The next four sessions were +5.9% on 2.3x volume, and the heavy days were up days	No — the headline kill was measured on the wrong day
Management is re-accumulating rather than returning cash	Q1 balance sheet + unrealized-gain reserve	¥2,041M purchase (reserve moved only ¥26M, so not a price move). ~¥4.07bn in two years vs ¥0.70bn of dividends	Yes — and our bear bench missed the single largest fact on the balance sheet
The “+32% profit beat” is real progress	Three years of Q1 operating profit	¥438M → ¥328M → ¥434M. Flat for two years against an easy comp	Yes — and both benches missed it until the end

Claim	How checked	Found	Confirmed?
The seller is a bank unwinding a cross-holding	Searched Japanese filing sites	No shareholding-change filing surfaced. Fits the pattern; unproven	No — plausible only, and no verdict rests on it
Operating margin	Adjudicator says 0.95%; benches computed 2.1% actual and 1.65% guided from the reports	Unreconciled. Safe statement: below 2% and guided lower	No — flagged, not resolved
Live price from our own broker	Broker price tools were permission-denied to both benches	Every price here comes from Japanese vendor pages, not our broker. This breaks our own rule about pricing off the broker	No — open gap
What the ¥2,041M actually is	The annual securities report (有価証券報告書, filed ~June 2026) breaks out cross-shareholdings	Never fetched. The one document that decides the case	No

Two of the three kills we inherited died on primary documents, and then our bear bench's own headline kill died too. That is the system working, but it means this deck rests on a much thinner case than the one we walked in with.

PROPOSED ENTRY BANDS

First, a gap the deck has to flag: the adjudication instructs that the reopen gates be reproduced here verbatim and not invented — **and the reopen-gate block came through empty.** Nothing below is authorized by the adjudicator. Everything below is derived from the benches' own arithmetic and is subordinate to any gates the adjudicator supplies later.

Immediate action: none today. The adjudication is “courtably small, no urgency.” The bear bench's explicit instruction is *do not stage today* — the currency tripwire printed on the day of the court.

If and when it is started (principal's call on the currency):

	Level / condition	Why
Start condition	USDJPY below 160 at the time of the first clip	Our own pre-registered tripwire, live at 159.59 with a 160.39 high on 9/2
Buy zone	¥402–465	¥402 is the 52-week low; ¥465 is 0.59x book and ~0.78x the bear bench's harshest fair value. Above ¥465 we stop initiating — this is a discount ladder, not a chase
Reference price	¥433 (9/2 close). Note the case was framed off ¥435–443 at various points; use the live print	
Clip size	100 shares (~¥43,300 ≈ \$271) — one Japanese trading lot, ~0.5% of daily volume	
Pace	~2 clips/day maximum, i.e. ≤1% of daily volume, over ≥25 sessions	

	Level / condition	Why
Full size	~ 4,600 shares ≈ ¥2.0M ≈ \$12,500 , capped at 0.1% of book	Both benches independently landed at \$10–12.5k
Stop buying	¥538	Liquid assets per share at the bear bench's own 50% securities haircut. Above this you are no longer getting the operating business for free — the entire argument is gone
Trim / review	¥593 (bear bench's harshest fair value), full review at ¥670 (bias-corrected)	
Halt and re-court	A break below ¥402 on volume above 2x average	Cheaper is not automatically better here: a low breaking on heavy volume means the unidentified seller is back and we are the marginal bid

Adds are gated on events, not on price. No add until *either* (a) a shareholding-change filing appears that dates the end of the supply, *or* (b) the November half-year report shows operating cash flow above ¥1.0bn for the half **and** no further securities purchases.

Hard pre-add gate: the FY3/2026 annual securities report's cross-shareholding note. If the ¥2,041M turns out to be listed cross-shareholdings, **halve the size** and treat the trapped-cash discount as worse than 50%.

Catalyst dates: - ~**2026-11-13** — **Q2 FY3/2027 half-year report. UNCONFIRMED** (derived from last year's filing date; no company announcement names it). This is the decisive one: cash flow and whether the securities buying continues. - ~**2027-02-13** — **Q3 report. UNCONFIRMED.** - ~**2027-05-14** — **full-year report and the annual dividend decision. UNCONFIRMED.** The dividend is a single year-end payment set by the board each March; there is no interim payment to catch. - **Already available, never fetched — the FY3/2026 annual securities report on EDINET.** This is a work item, not a catalyst, and it is gate-critical.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 402.0 (deck-provisional: 52-week low breach on >2x volume means the unidentified seller is back - halt clips and re-court, do n)
- dated pack 8135.T|2026-11-13: 8135.T: Q2 FY3/2027 half-year report - the decisive cash-flow and capital-allocation read (date confirmed=False)
- dated pack 8135.T|2027-02-13: 8135.T: Q3 FY3/2027 report (date confirmed=False)
- dated pack 8135.T|2027-05-14: 8135.T: FY3/2027 full-year report and the annual year-end dividend decision (single payment, board discretion) (date confirmed=False)

What remains unverified

1. **What the ¥2,041M of investment securities actually is.** The one document that answers it exists and has not been read. Everything about position size depends on it.
2. **Who is selling, and whether they are finished.** The bank-unwind story is plausible and unproven. No filing found; the site searched structurally cannot carry that filing type, so the absence is a coverage gap, not evidence.
3. **The operating margin discrepancy** — 0.95% per the adjudication versus 2.1% actual and 1.65% guided per the filings. Unreconciled.
4. **Sourcing and customer concentration.** The claim that this is “not a brand but a re-seller” was reduced by the bull bench as unsupported by the evidence cited. We cannot test it without Japanese customs data we don’t have.
5. **The ITOCHU relationship after the Descente exit.** The counterparty with demonstrated willingness to restructure ZETT’s arrangements just cashed out of it. Nothing in the filings tells us what remains.
6. **The youth-baseball demographic decline.** Asserted in the adjudication as part of the real bear case. No series was pulled by anyone. Single-segment reporting means it will never be visible until it is in the revenue line.
7. **Lease-adjusted net cash (the 65% figure).** Depends on lease liabilities not shown in the summary reports.
8. **Every price in this deck.** Sourced from Japanese vendor pages because our broker’s price tools were permission-denied to both benches. Our own rule says price off the broker before valuing anything. We didn’t.
9. **The next report date.** Inferred, not confirmed.
10. **Currency direction.** The desk’s FX memo was unreadable to one bench. Direction is a principal decision, as the Japan sweep already stipulated.

Primary sources: [FY3/2026 annual results report \(PDF\)](#) · [Q1 FY3/2027 quarterly report \(PDF\)](#) · [Q1 FY3/2026 quarterly report — the seasonality control \(PDF\)](#) · [TDnet filing inventory for 8135](#) · [audited financial series E03076](#)

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